INSTITUTIONAL INVESTMENT ANALYTICS

Insider Alpha

Transforming SEC Form 4 Filings into
High-Conviction Investment Signals

For Portfolio Managers & Institutional Investors

THE PROBLEM

40,000+

Form 4 filings
annually in the S&P 500

Information Asymmetry

Corporate insiders legally must disclose trades — yet few investors systematically exploit this data.

Manual Analysis Impossible

Thousands of daily filings make it impractical to track, normalize, and extract signals by hand.

Missed Alpha Opportunities

Legal insider activity has proven to predict short-to-medium term price moves — a signal being left on the table.

The S&P 500 is the world's most efficient market — yet this information gap persists.

THE SOLUTION

Insider Alpha consolidates and distills SEC Form 4 data for S&P 500 companies into a unified, signal-ready analytics dashboard.

Hierarchical Weighting

Prioritizes C-suite trades (CEO, CFO) over lower-level employee transactions to surface the highest-conviction signals.

Cluster Detection

Flags 'Isolated/Significant Purchases' — instances where multiple independent insiders buy simultaneously.

Temporal Analytics

Time-stamps each signal to capture alpha within the critical 1–6 month post-filing window.

Algorithm automatically excludes non-discretionary trades: stock grants, option exercises & 10b5-1 pre-planned sales.

PILLAR 1

Value: Quantifiable Alpha Generation

5–10%

average outperformance
in the 6 months following
cluster insider purchases

Systematic Scoring

Aggregates data into a composite score. PMs set strict risk thresholds — execute only when criteria are met.

Risk Mitigation

Isolates CEO sell signals as early warnings for downside risk — enabling hedging or exit before negative surprises.

Uncorrelated Alpha

Returns uncorrelated with traditional factor models (value, momentum). A distinct and differentiated edge.

Research-backed: Academic studies confirm the predictive power of insider cluster purchases across market cycles.

PILLAR 2

Efficiency: Streamlining Operational Workflows

Noise Filtering

- Automatically excludes non-discretionary trades
- Removes stock grants, tax-related sales & option exercises
- Eliminates false positives — only opportunistic trades where insiders risk their own capital
- Algorithm grounded in academic research methodology

Unified Dashboard

- Replaces archaic SEC EDGAR navigation
- Normalized, sortable views across all S&P 500 sectors
- Buying/selling trend visualization at a glance
- Reduces hours of manual research to seconds

Insider Alpha transforms a 40,000+ filing annual workload into a streamlined, decision-ready workflow.

PILLAR 3

Strategic Alignment: Data-Driven Decision Making

Thematic Analysis

Track which sectors (Tech, Healthcare, Financials) show the highest insider buying concentration — enabling top-down allocation with bottom-up conviction.

Compliance Ready

Built entirely on public, auditable SEC filings. Clear audit trail for compliance departments on the origin of every trade idea.

Proprietary Data Moat

Transforms legal insider filings into a systematic process. A source of return not universally available to passive market participants.

Benchmark Outperformance

Operationalizing insider data enables asset managers to capture alpha uncorrelated with traditional factor-based strategies.

CONCLUSION

Your Edge in the S&P 500 Landscape

Insider Alpha bridges the gap between public regulatory data and proprietary investment insight — applying a proven methodology to the 'smart money' trades of C-suite executives.

1–6 mo.	5–10%	40,000+
Alpha capture window	Benchmark outperformance	Annual filings processed

High-conviction · Actionable · Compliant · Data-driven